MANAGING THE $ DELUGE

Massive foreign currency inflows through the FCNR (B) route may have helped stabilise a rapidly falling rupee and boosted forex reserves, but it has saddled the Reserve Bank of India with two new problems—surplus liquidity in the short term, and redemption pressures in the long run

BY **NACHIKET KELKAR**



INDIA'S CENTRAL BANK went into the summer of 2026 trying to shore up the rupee amid turmoil triggered by the West Asia war. Three months later, the Reserve Bank of India (RBI) has built a record foreign exchange war chest that has, in turn, created two new concerns. One, there is a surge in domestic liquidity. And two, a large pool of foreign currency raised through a special concessional swap window may flow out three-five years down the line.

The special window opened by the RBI in June to attract foreign currency has brought in a much larger-than-expected $127 billion through foreign currency non-resident (bank) or FCNR(B) deposits. Additionally, $5.26 billion has come in through overseas foreign currency borrowings (OFCBs) and $3.89 billion from external commercial borrowings (ECBs) as of end-August, helping push foreign exchange reserves to a record $785.7 billion by September 4.

However, under a swap arrangement, banks exchange the foreign currency deposits raised for rupees from the RBI, adding to rupee liquidity in the banking system. As a result, surplus liquidity has since surged and was more than ₹11 lakh crore in the first week of September, forcing the central bank to step up efforts to absorb it.

Banks offered interest rates of 6-7% on FCNR (B) deposits during the special window, compared to

PROBLEM OF PLENTY

▸ RBI's special swap window saw a massive $127.23 billion in FCNR (B) inflows by August 31, significantly more than the $80-90 billion expected by economists